

# On the Value of Not Knowing

**I** WANT TO DISCUSS my ignorance. Or rather, my justifiable pride in saying, “I don’t know.” I use this phrase frequently, as there is a wealth of subjects I know very, very little about.

Sometimes I am asked things I could not possibly know—particularly about the future. Rather than guess, I believe the best approach is to admit the truth and plan accordingly. The alternative is to do what too many people do: **Make predictions, then marry those forecasts.** This usually leads to catastrophic results. It’s a classic avoidable error.

Understanding what it is *I do not know* is a core part of my approach to the world. It’s why I focus so much on investor psychology and cognitive issues. I want to understand what I don’t know, and when my brain is lying to me. My experience has found this approach to be rewarding.

Unfortunately, this is not a standard operating procedure in many fields. Perhaps we might blame this failure to admit ignorance on an excess of testing in schools. Maybe that’s the reason—but maybe not—*I do not know*.

In the world of investing, recognizing what you do not know and therefore should not be betting on is paramount. It is an important trait for any investor to have. Too many people assume they are making decisions based on what they know, but oftentimes their decisions are based on what they think they know but really don’t.

I am not trying to be cagey or contrarian for its own sake—although I will admit to a dollop of mischievous joy when a TV anchor asks me where prices will be in the future:

Q: “Where is the Dow going to be one year from now?”

A: “I have no idea.”

Q: (\*Twitch\*)

Everyone who answers that question with anything other than “I don’t